

Preferred-Stock Sinking Funds. Very few public-utility or railroad preferred-stock issues have a sinking-fund provision. But in the case of industrial preferred-stock offerings sinking funds have become the general rule. The advantages that bonds derive from a sinking fund are equally applicable to preferred stocks. Furthermore, in view of the weak contractual position of preferred stocks, which we have frequently emphasized, there is the more reason for the buyer to insist on special protective arrangements of this kind. But although a sinking fund is thus a highly desirable feature of a preferred issue, its presence is no assurance, nor is its absence a negation of adequate safety. The list of 21 preferred stocks (given in Chap. 14) that maintained an investment status throughout 1932–1933 contains only one issue with a sinking-fund provision. As previously explained, this paradox is due to the fact that nearly all the strong industrial preferreds are old established issues, and the sinking fund is a relatively recent development.

The amount of the sinking fund is usually fixed at a certain percentage of the maximum amount of preferred stock at any time outstanding, 3% being perhaps the most frequent figure. Less often the amount is based on a percentage of profits. There are a number of variations and technicalities of a descriptive nature, which we shall not detail. In most cases the payment of the sinking fund is obligatory, provided: (1) preferred dividends have been paid in full or “provided for,” and (2) there remain surplus profits equal to the sinking-fund requirement.

A small number of preferred stocks are protected by an agreement to maintain net current assets, usually at 100% of the preferred issue or 100% of the preferred stock plus bond issues. In some cases the penalty for nonobservance is merely a prohibition of common dividends (*e.g.*, Sidney Blumenthal and Company), whereas in other cases voting control

replaced the original 6% preferred and the successor 7% preferred (together with their accumulated dividends) by a new convertible 5% preferred, plus a bonus of common stock. The effect of various court decisions has been to hold, however, that, in the case of corporations formed prior to the enactment of these statutes, the claim for accumulated dividends is a vested right which cannot be taken away by stockholders' vote.

See *Keller vs. Wilson & Co., Inc.*, 190 Atl. 115 (Del. 1936), and S.E.C. *Report on the Study and Investigation of the Work, Activities, Personnel and Functions of Protective Reorganization Committees*, Pt. VIII, “Management Plans without Aid of Committees,” pp. 187 *et seq.*, United States Government Printing Office, 1938.